

Annual Leave and Company Holidays Policy

Policy ID	HR-LEAVE-101	Owner	People Operations
Effective	January 1, 2026	Next review	January 1, 2027
Status	Current	Classification	Internal
Audience	Employees and people managers	Company	Northstar Technologies (fictional)

Document notice: This policy is fictional and was created for retrieval-augmented generation testing. It is not legal, tax, medical, or employment advice.

1. Purpose and Scope

This policy explains annual leave eligibility, accrual, scheduling, carry forward, and the interaction between approved leave and company holidays. It supplements the Employee Onboarding Guide and should be read with the Sick and Wellness Leave Policy.

This policy applies across company offices and approved remote locations unless a local addendum or controlling law provides a different rule. Employees should use the current policy version and ask the listed owner when facts do not fit the standard case.

2. Summary of Key Rules

Worker group	Annual entitlement	Carry forward	Approval
Full-time	18 days per calendar year	Up to 5 days	Manager approval
Part-time	Prorated by scheduled hours	Up to 5 prorated days	Manager approval
Contractor	Not eligible	Not applicable	Per contract

3. Accrual and Proration

Annual leave is credited monthly and prorated for employees who start or leave during the year. A full monthly credit is earned when the employee is active for at least 15 calendar days in that month. Approved unpaid leave lasting more than 30 consecutive days pauses accrual after day 30. Employees may view current and projected balances in the HR portal; the displayed balance remains subject to payroll reconciliation.

4. Request and Approval Rules

Planned leave of three working days or fewer should normally be requested at least three working days in advance. Longer absences should normally be requested at least ten working days in advance. Managers consider staffing, prior commitments, and critical delivery dates. A submitted request is not approved until the employee receives confirmation in the HR portal. Emergency absences may be reported verbally and documented later.

5. Carry Forward and Year-End

Employees may carry forward up to five unused annual leave days into the following calendar year. Carried days are used before current-year days and expire on March 31 unless People Operations approves a documented business-driven extension. Sick leave cannot be converted into annual leave. Managers may not direct employees to record time worked as annual leave.

6. Holidays and Special Cases

A company holiday occurring during approved annual leave is recorded as a holiday rather than annual leave. Employees required to work on a company holiday should follow the holiday-work arrangement published for their country. Leave during a notice period requires manager and People Operations approval. Negative annual leave balances are not permitted unless an approved local addendum states otherwise.

7. Exceptions, Records, and Questions

Exceptions must be lawful, documented, limited in duration, and approved by the policy owner plus any other owner named in the relevant section. Approval for one case does not change the policy for other employees. Records are retained according to the company retention schedule and any legal hold.

Related documents: Sick and Wellness Leave Policy; Family, Medical, and Parental Leave Policy; Payroll Calendar and Cutoffs Policy.

Version history

Version	Effective date	Change
1.0	January 1, 2026	Initial fictional policy issued for RAG evaluation.